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NATURE OF PROCEEDINGS: Hearing on Demurrer

The Demurrer is sustained in part and overruled in part.

BACKGROUND

Plaintiffs Pora Choi (Choi) and James Sung Whan (Whan) filed this action

against SOS Restoration, Inc. (SOS), Itay Gamliel, Ivan Vejar Delgado, David N.

Malka, Avner Golan, and Eli (collectively, "Defendants"), alleging that SOS

performed emergency water damage restoration at their residence, demolished

more of the structure than the work required, and billed for services it never

rendered.

The causes of action in the First Amended Complaint (FAC) are: (1) False

Claims Acts; (2) Contractual Fraud: Property Damages; (3) Conspiracy to Defame;

(4) Tortious Interference With Prospective Economic Advantage; (5) Fraud; (6)

Negligent and Fraud; and (7) Unjust Enrichment.

Every Defendant but Eli filed a Demurrer. Plaintiffs filed an Opposition.

LEGAL STANDARD

A demurrer tests the legal sufficiency of the pleading. The Court “treat[s]

the demurrer as admitting all material facts properly pleaded, but not

contentions, deductions or conclusions of fact or law.” (Blank v. Kirwan (1985) 39 Cal.3d 311, 318 (Blank).)

The allegations of a pleading “must be liberally construed, with a view to

substantial justice between the parties.” (Code Civ. Proc., § 452.) What

matters is the substance of what is alleged: “If the complaint states a cause

of action under any theory, regardless of the title under which the factual

basis for relief is stated, that aspect of the complaint is good against a

demurrer.” (Quelimane Co. v.

Stewart Title Guaranty Co.

(1998) 19 Cal.4th 26, 38 (Quelimane).) A demurrer also

lies where a pleading “is uncertain,” a term that “includes ambiguous and

unintelligible.” (Code Civ. Proc., § 430.10, subd. (f).) A demurrer on that

ground “is strictly construed, even where a complaint is in some respects

uncertain, because ambiguities can be clarified under modern discovery

procedures.” (Khoury v. Maly's of

California, Inc. (1993) 14

Cal.App.4th 612, 616 (Khoury).)

ANALYSIS

I. Standing

Defendants argue that Whan cannot sue because he holds no ownership interest in the residence where the work was performed. (Dem., p. 6.)

Every action must be prosecuted in the name of the real party in interest. (Code Civ. Proc., § 367.)

Here, the FAC alleges that title to the residence is recorded in Choi's name and that Whan holds a documented interest in the property through a partnership agreement with her. (FAC ¶¶ 3-4.) It further alleges that Whan bears the expenses of maintaining and selling the property, that he personally entered into the contract with SOS, and that he sustained the out-of-pocket losses the alleged fraud produced. (FAC ¶ 4.) Those allegations are admitted for purposes of the Demurrer. (Blank, supra, 39 Cal.3d at p. 318.) A party who alleges that he made the contract and bore the losses has an interest in claims arising from that contract and the billing under it, whatever the state of the title.

Defendants respond that the partnership agreement "is not pled in the FAC and therefore that entire argument is not germane to the Demurrer." (Reply, p. 2.) Paragraphs 3 and 4 of the FAC plead it. Defendants also argue that the contract for restoration services ran solely between SOS and Choi. (Reply, p. 2.) Paragraph 4 alleges otherwise, and on demurrer that allegation is taken as

true.

Accordingly, the Demurrer on the ground that Whan lacks standing is overruled.

II. Extrinsic Matter

Defendants argue that the declarations and exhibits accompanying the Opposition present facts outside the FAC and cannot be considered. (Reply, pp. 1-2.)

A demurrer reaches a ground for objection appearing “on the face” of the pleading “or from any matter of which the court is required to or may take judicial notice.” (Code Civ. Proc., § 430.30, subd. (a).) The Court has not considered the declarations of Whan and Choi or the exhibits submitted with them, and no part of this ruling rests on them.

The same limit governs the Opposition’s legal theories. Plaintiffs argue that SOS began work without the written contract and estimate required by Business and Professions Code section 7159, that it breached the implied covenant of good faith and fair dealing, and that its practices violate Business and Professions Code section 17200. (Opp., pp. 3-5.) The FAC pleads none of those theories, and a demurrer is decided on the pleading as it stands. Plaintiffs also ask the Court to revoke Defendants’ contractor licenses. (Opp., pp. 10-11.) That is not relief available on a demurrer.

III. Uncertainty

Defendants argue that every cause of action is ambiguous and unintelligible

and that they cannot determine what is charged against them. (Dem., pp. 11-13.)

A demurrer for uncertainty “is strictly construed, even where a complaint is

in some respects uncertain, because ambiguities can be clarified under modern

discovery procedures.” (Khoury,

supra, 14 Cal.App.4th at p. 616.) The ground is available where a

pleading is so incomprehensible that a defendant cannot tell what is alleged

against it.

Here, the FAC is repetitive and its counts overlap. It is comprehensible.

Each cause of action rests on the same alleged facts: SOS demolished more of

the residence than the water damage required, billed for work it never

performed, and disposed of salvaged materials before the insurance adjuster

could inspect them. (FAC ¶¶ 28.) These allegations are not uncertain.

Defendants further argue that the FAC alleges no more than speculation of

damages. (Dem., p. 13.) The FAC alleges that Defendants billed over \$4,500 for

storage at a facility never used, that repairing the unauthorized demolition

will cost approximately \$150,000, and that the residence is beyond repair. (FAC

¶¶ 28, 35.) Uncertainty in the amount of damages is not a defect in the

pleading.

Accordingly, the Demurrer on the ground of uncertainty is overruled.

IV. False Claims Act

Defendants argue that no cause of action exists under the False Claims Act

on these facts. (Dem., p. 13.)

The California False Claims Act imposes liability on a person who

“[k]nowingly presents or causes to be presented a false or fraudulent claim for

payment or approval,” and that liability runs “to the state or to the political

subdivision.” (Gov. Code, § 12651, subds. (a), (a)(1).) The Act governs a claim

presented to an officer, employee, or agent of the state or a political

subdivision, or to a contractor or other recipient where the state or political

subdivision “[p]rovides or has provided any portion of the money, property, or

service requested or demanded” or “[r]eimburse[s] the contractor, grantee, or

other recipient for any portion” of it. (Gov. Code, § 12650, subd. (b)(1).)

Here, the first cause of action alleges that Defendants submitted invoices

for labor on projects that do not exist and for work that was never performed,

and that they presented those invoices to Plaintiffs and to Bamboo Insurance

Company, the carrier for the residence. (FAC ¶¶ 32, 34-36.) Nothing in the FAC

alleges that the state or any political subdivision provided or reimbursed any

part of the restoration work, and the recovery the statute authorizes runs to

the public entity whose funds were taken. A false invoice rendered to a

homeowner or to a private insurance carrier falls outside the Act. Plaintiffs

plead the same conduct again in the fifth and sixth causes of action, and it is addressed there.

Defendants also demur to this cause of action on the ground that it cannot be ascertained whether the contract is written, oral, or implied by conduct.

(Dem., pp. 3-4; Code Civ. Proc., § 430.10, subd. (g).) That ground applies to an action founded upon a contract, and the first cause of action rests on no agreement between the parties.

Leave to amend follows a sustained demurrer unless no reasonable possibility exists that the defect can be cured, and “[t]he burden of proving such reasonable possibility is squarely on the plaintiff.” (Blank, supra, 39 Cal.3d at p. 318.) The defect here is not one of pleading. The Act governs claims for public money, and this dispute concerns a homeowner’s invoice and a private carrier’s coverage decision. No amendment consistent with the FAC’s own allegations can supply the public funds the statute requires, and Plaintiffs identify no facts that would.

Accordingly, the Demurrer to the first cause of action is sustained without leave to amend.

V. Contractual Fraud

Defendants argue that the second cause of action is uncertain because what

Plaintiffs allege cannot be determined, and that it cannot be ascertained

whether the contract is written, oral, or implied by conduct. (Dem., pp. 3-4, 13.)

A demurrer lies where, “[i]n an action founded upon a contract, it cannot be ascertained from the pleading whether the contract is written, is oral, or is implied by conduct.” (Code Civ. Proc., § 430.10, subd. (g).)

Here, the second cause of action is founded upon a contract. Plaintiffs plead it as contractual fraud. It alleges that Defendants induced Plaintiffs to enter the services agreement by misrepresenting the necessity and scope of the demolition, that Defendants concealed their intent to demolish undamaged areas to inflate the bill, and that this conduct “constitutes actionable fraud in a contractual context.” (FAC ¶ 45.) The Prayer asks that the agreement be rescinded. (FAC, Prayer ¶ 3.)

The FAC does not disclose what kind of agreement that was. It alleges that Plaintiffs “entered into an agreement with Defendant SOS Restoration, Inc. for emergency water remediation and restoration service” without saying whether the agreement was written, spoken, or implied by conduct. (FAC ¶ 28, subpara. (b).)

Elsewhere it alleges that the contract was signed, and that Defendants induced the signing by promising to add the absent partner’s signature at a later time.

(FAC ¶¶ 32, 91.) It then alleges that Whan, whose signature was never added,

may “argue an oral/implied agreement existed.” (FAC ¶ 3.) Both Plaintiffs bring this count. The agreement is neither attached to the FAC nor pleaded by its terms.

The remaining allegations in the count depend on the agreement as well. The conversion theory is that Defendants exceeded “the authorized scope of work” and disposed of Plaintiffs’ personal property without their consent. (FAC ¶¶ 47-48.) What the work authorized, and what consent was given, are measured by the agreement. A defendant asked to answer for exceeding an agreement, and to unwind it, is entitled to learn from the pleading which form the agreement took.

Accordingly, the Demurrer to the second cause of action is sustained with leave to amend.

VI. Conspiracy to Defame

Defendants argue that California recognizes no cause of action for conspiracy. (Dem., p. 13.)

“Conspiracy is not a cause of action, but a legal doctrine that imposes liability on persons who, although not actually committing a tort themselves, share with the immediate tortfeasors a common plan or design in its perpetration.” (Applied Equipment

Corp. v. Litton Saudi Arabia Ltd.

(1994) 7 Cal.4th 503, 510-511.) A conspiracy count therefore rises

or falls with the tort the defendants are alleged to have agreed to commit.

Plaintiffs identify that tort: the third cause of action is for civil

conspiracy to commit defamation per se and trade libel. (FAC ¶ 57.) The heading

is not what defeats the count. (Quelimane,

supra, 19 Cal.4th at p. 38.)

Libel requires “a false and unprivileged publication ... which exposes any

person to hatred, contempt, ridicule, or obloquy, or which causes him to be

shunned or avoided, or which has a tendency to injure him in his occupation.” (Civ.

Code, § 45.) A plaintiff need not plead the exact words. Slander “can be

charged by alleging the substance of the defamatory statement.” (Okun v. Superior Court (1981) 29 Cal.3d 442, 458.)

Here, the FAC alleges that Defendants “acted in concert to disseminate

false and disparaging information regarding the Plaintiffs’ property condition

and character to the insurance carrier.” (FAC ¶ 58.) It nowhere alleges the

substance of what any Defendant said. It identifies no statement and no

speaker, and it does not separate disparagement of the residence from an

assertion about Plaintiffs themselves. Without the substance of a statement,

the FAC pleads no defamatory publication, and the conspiracy count has no tort

to attach to.

Accordingly, the Demurrer to the third cause of action is sustained with

leave to amend.

VII. Prospective Economic Advantage

Defendants argue that the fourth cause of action alleges no facts

identifying what prospective economic advantage was interfered with. (Dem., p.

13.)

The tort requires “(1) an economic relationship between the plaintiff and

some third party, with the probability of future economic benefit to the

plaintiff; (2) the defendant's knowledge of the relationship; (3) intentional

acts on the part of the defendant designed to disrupt the relationship; (4)

actual disruption of the relationship; and (5) economic harm to the plaintiff

proximately caused by the acts of the defendant.” (Youst v. Longo (1987)

43 Cal.3d 64, 71, fn. 6.) These requirements “presuppose the

relationship existed at the time of the defendant's allegedly tortious acts.” (Westside Center Associates v. Safeway Stores

23, Inc. (1996) 42 Cal.App.4th

507, 526 (Westside Center).) A plaintiff who alleges only

that the defendant's conduct cost it the chance to sell property to whoever

might have bought it pleads “at most a hope for an economic relationship and a

desire for future benefit.” (Id. at p. 527.)

Here, the fourth cause of action identifies two relationships. The first is

a prospective sale of the residence, which Defendants are alleged to have

sabotaged by leaving the property in an unrecoverable state and destroying its marketability. (FAC ¶¶ 69, 71.) The FAC names no buyer and alleges no dealings with one, which is the showing Westside Center holds insufficient. The second is a distribution under the partnership agreement. (FAC ¶¶ 71-72.) The partner on the other side of that arrangement is the co-plaintiff, not a third party. The FAC alleges no facts showing that Defendants knew of either arrangement when they performed the work.

Accordingly, the Demurrer to the fourth cause of action is sustained with leave to amend.

VIII. Fraud

Defendants argue that the fifth cause of action pleads no facts showing which representations were made, by whom, when, and how Plaintiffs relied on them. (Dem., p. 14.)

The elements of fraud “are (a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or ‘scienter’); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage.” (Lazar v.

Superior Court (1996) 12

Cal.4th 631, 638 (Lazar).) Fraud is pleaded with

particularity, and “[t]his particularity requirement necessitates pleading

facts which 'show how, when, where, to whom, and by what means the

representations were tendered.'" (Id. at p. 645.) Where the defendant

is a corporation, a plaintiff must "allege the names of the persons who made

the allegedly fraudulent representations, their authority to speak, to whom

they spoke, what they said or wrote, and when it was said or written." (Tarmann v. State Farm Mut. Auto. Ins. Co. (1991) 2 Cal.App.4th 153, 157 (Tarmann).)

Here, the fifth cause of action alleges that on July 7, 2025, Defendants

represented that they would perform only the restoration work the insurance

claim covered, and that their actual intent was to demolish excessively and

inflate the billing. (FAC ¶¶ 75, 83.) It alleges that Defendants invoiced for

five or six areas where no work was done and billed \$4,500 for storage at a

facility never used. (FAC ¶¶ 76-77.)

What the count does not do is say who made the July 7 representation. It

attributes the promise to Defendants as a group, and the FAC's general

allegations go no further, reciting that the representation came from

Defendants "through their agents including Mr. Malka and Mr. Avner." (FAC ¶ 28,

subpara. (c).) Gamliel, Delgado, Malka, and Golan (the individual Defendants)

join the Demurrer, and the FAC nowhere alleges that Gamliel or Delgado said

anything to Plaintiffs. The FAC also omits the means by which the

representation was made.

The invoice allegations have the opposite difficulty. They are specific, but

the FAC alleges reliance only on Defendants' "status as 'restoration experts,'" and it alleges that Plaintiffs received the invoices, disputed them, and demanded explanations Defendants refused to give. (FAC ¶¶ 78, 80.) A misrepresentation the plaintiff disbelieved and acted against does not support a claim for fraud.

Accordingly, the Demurrer to the fifth cause of action is sustained with leave to amend.

IX. Negligence

Defendants argue that the sixth cause of action alleges no professional duty running from any Defendant to either Plaintiff. (Dem., p. 15.)

Whether a restoration contractor is a professional in the sense a professional negligence claim contemplates does not decide the Demurrer.

Everyone is responsible "for an injury occasioned to another by his or her want of ordinary care or skill in the management of his or her property or person."

(Civ. Code, § 1714, subd. (a).) A contractor who undertakes work at a residence owes the owner a duty to perform it with reasonable care, and the count is tested by what it alleges. (Quelimane, supra, 19 Cal.4th at p. 38.)

Here, the sixth cause of action alleges that Defendants are licensed contractors who owed a duty of care, that they breached it by demolishing

structural elements the water damage had not touched and by proceeding without the owner's consent, and that the residence sustained structural damage exceeding the original water loss and lost value as a result. (FAC ¶ 86.) Duty, breach, causation, and damage are each pleaded as against SOS. Whether the count also states a claim against the individual Defendants is taken up with the alter ego allegations.

Accordingly, the Demurrer to the sixth cause of action is overruled as to SOS.

X. Unjust Enrichment

Defendants argue that unjust enrichment is a remedy rather than a cause of action and that the seventh cause of action therefore fails as a matter of law.

(Dem., p. 15.)

How the count is labeled does not decide the Demurrer, because a pleading is tested by the facts it alleges. (Quelimane,

supra, 19 Cal.4th at p. 38.) A claim in quasi-contract requires the

"receipt of a benefit and unjust retention of the benefit at the expense of another." (Lectrodryer v.

SeoulBank (2000) 77 Cal.App.4th

723, 726.)

Here, Plaintiffs ask that the count be treated as a request for restitution.

(FAC ¶ 94.) The FAC alleges that Defendants charged over \$4,500 for storage at

a facility that was never used, that Defendants received cash belonging to

Plaintiffs, and that it would be inequitable for Defendants to retain that

charge. (FAC ¶¶ 28, 94-95.) Admitted for purposes of the Demurrer, those

allegations state a claim for restitution.

Accordingly, the Demurrer to the seventh cause of action is overruled.

XI. Alter Ego

Defendants argue that the individual Defendants are named on boilerplate

alter ego allegations pleading no facts. (Dem., pp. 9-11.)

Alter ego liability requires “such a unity of interest and ownership between

the corporation and its equitable owner that the separate personalities of the

corporation and the shareholder do not in reality exist,” and “an inequitable

result if the acts in question are treated as those of the corporation alone.” (Sonora Diamond Corp. v. Superior Court (2000) 83 Cal.App.4th 523, 538-539.) A

plaintiff “need not use the words ‘alter ego,’ but must allege sufficient facts

to show a unity of interest and ownership, and an unjust result if the

corporation is treated as the sole actor.” (Leek v. Cooper (2011)

194 Cal.App.4th 399, 415.)

Here, the FAC’s veil-piercing allegations run four paragraphs and recite the

elements without the facts. They allege a unity of interest and ownership

between the individual Defendants and SOS such that separateness has ceased, and that adherence to the fiction of separate existence would sanction fraud and injustice. (FAC ¶¶ 21-22.) They allege an interrelation of operations, common management, and common ownership or financial control. (FAC ¶ 24.) The FAC nowhere alleges that SOS was inadequately capitalized, that its assets were diverted, or that its corporate formalities went unobserved. As pleaded, these allegations would not support disregarding the corporate form.

That conclusion does not dispose of the Demurrer. Alter ego is a theory of liability, not a cause of action, and “a demurrer does not lie to a portion of a cause of action.” (PH II, Inc.

v. Superior Court (1995) 33

Cal.App.4th 1680, 1682.) The question is what the two surviving causes of action allege the individual Defendants themselves did.

The sixth cause of action does not name the individual Defendants. It alleges that Defendants are licensed contractors who owed a duty of care and breached it by demolishing structural elements the water damage had not touched and by proceeding without the owner’s consent. (FAC ¶ 86.) That allegation charges SOS, which undertook the work and could perform it only through people.

It identifies no natural person. What the FAC says about Gamliel, Delgado, Malka, and Golan is what office each held and what authority each exercised

over personnel decisions, employee terminations, and corporate policy. (FAC ¶¶

6-9.) An officer is liable for the corporation's torts only where he

"personally directed or participated in the tortious conduct." (Frances T. v. Village Green Owners Assn. (1986) 42 Cal.3d 490, 503.) Holding an

office is not participation, and the veil allegations that might otherwise have

supported their liability are insufficient.

In contrast, the seventh cause of action names them. It alleges that it

would be inequitable for SOS, Gamliel, Delgado, Malka, and Golan each to retain

the storage charge and the amounts billed for work never performed, and that

each received cash belonging to Plaintiffs. (FAC ¶¶ 94-95.) Receipt of a

benefit and its unjust retention are the elements of that claim, and the FAC

alleges both against each of the four by name.

Accordingly, the Demurrer to the sixth cause of action as against the

individual Defendants is sustained, and the Demurrer to the seventh cause of

action as against the individual Defendants is overruled.

CONCLUSION

The Demurrer to the first cause of action is sustained without leave to

amend, and the Demurrer to the second through fifth causes of action is

sustained with 20 days leave to amend. The Demurrer to the sixth cause of

action is sustained with 20 days leave to amend as against the individual

Defendants and is otherwise overruled, and the Demurrer to the seventh cause of

action is overruled.